

SMALL SOFTWARE, REAL MONEY.

A buy-side thesis on the 262 software companies currently for sale inside a panel of 1,000 startups with payment-provider-verified revenue.

Not self-reported. Not a survey. Read directly from Stripe, RevenueCat, Polar and Paddle.

1,000
companies
verified

262
listed
for sale

25
pass the
screen

THE THESIS

Verified revenue became public. Pricing didn't catch up.

Sellers still price these businesses on a story: a multiple they quote, a growth curve they describe, an audience they point at. The panel lets us price them on settled cash instead.

When we do, two thirds of the listings turn out to be asking more than their own revenue supports — and a narrow band of them turn out to be asking far less.

64.7%

of listings ask more
than verified revenue
supports

1.49x

blended multiple on
the 25 assets that
survive

74%

ARR yield
on capital
deployed

Almost nobody makes money.

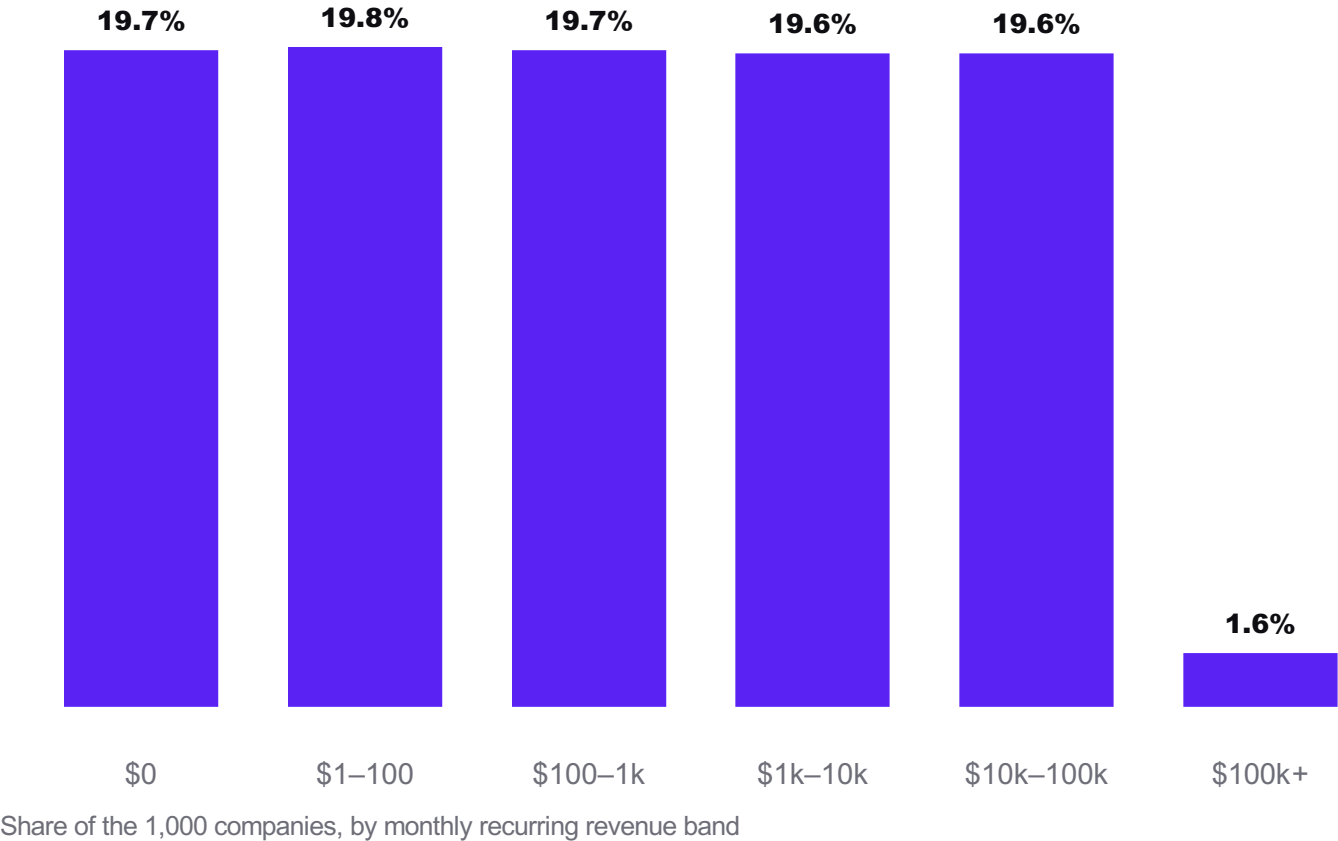
Rank all 1,000 companies by monthly recurring revenue and the distribution is not a curve — it's a cliff.

Four in ten earn under \$100 a month. The median company in the panel earns \$282 and has 16 paying subscribers.

This is the honest floor of the indie software economy, and it is the reason a buyer can be extremely selective.

\$282
median MRR
across the panel

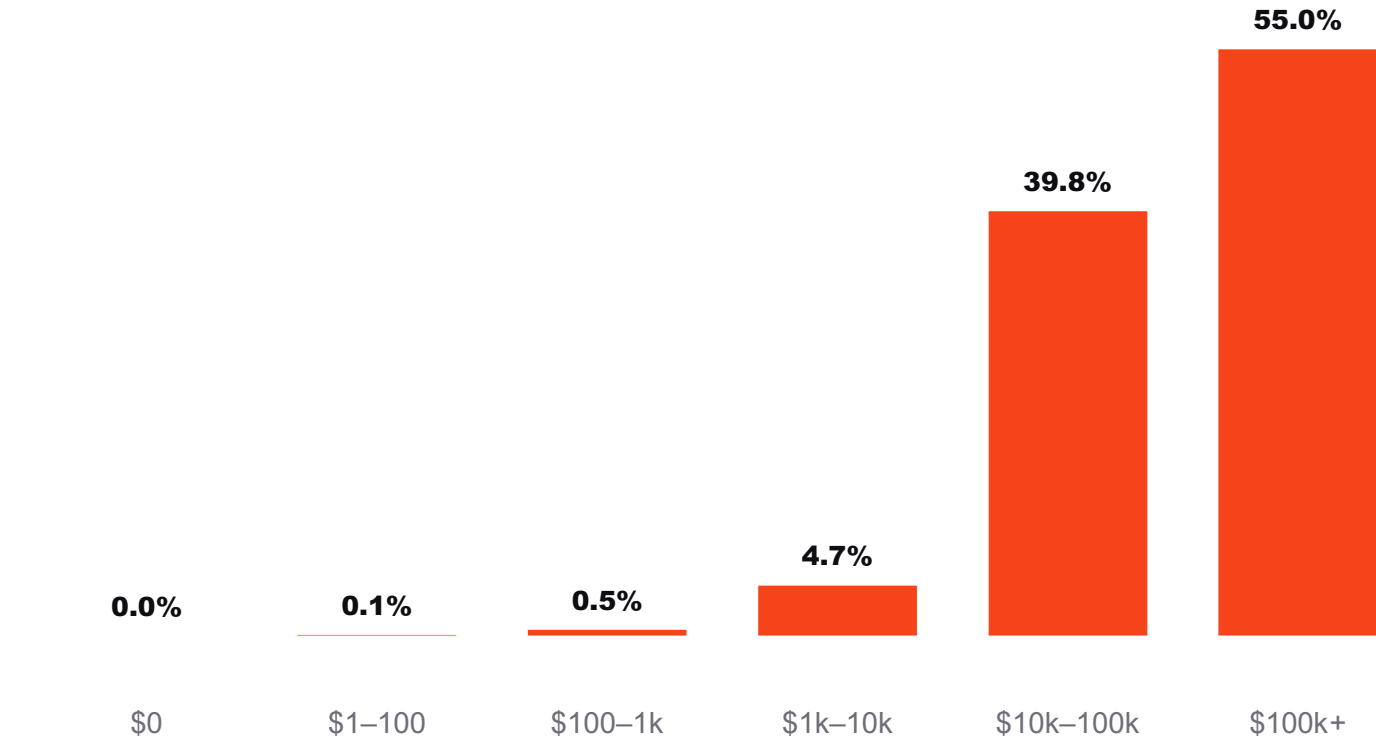
39.5%
earn under
\$100 per month



Source: Panel of 1,000 startups, revenue verified via payment-provider API (Stripe, RevenueCat, Polar, Paddle, Lemon Squeezy).

THE SAME CHART, WEIGHTED BY MONEY

Sixteen companies hold half of everything.



Share of total MRR held by each band · identical bands, inverted outcome

1.6%

of the panel — 16 companies — controls 55% of all recurring revenue.

The top 10 companies take 51% of annual revenue.

The top single company takes 18.7%.

The bottom 500 share 0.2%.

Source: Trailing-12-month revenue and current MRR, verified panel of 1,000 (total \$133.8M TTM revenue, \$13.5M MRR).

THE FIRST THING THAT SURPRISED US

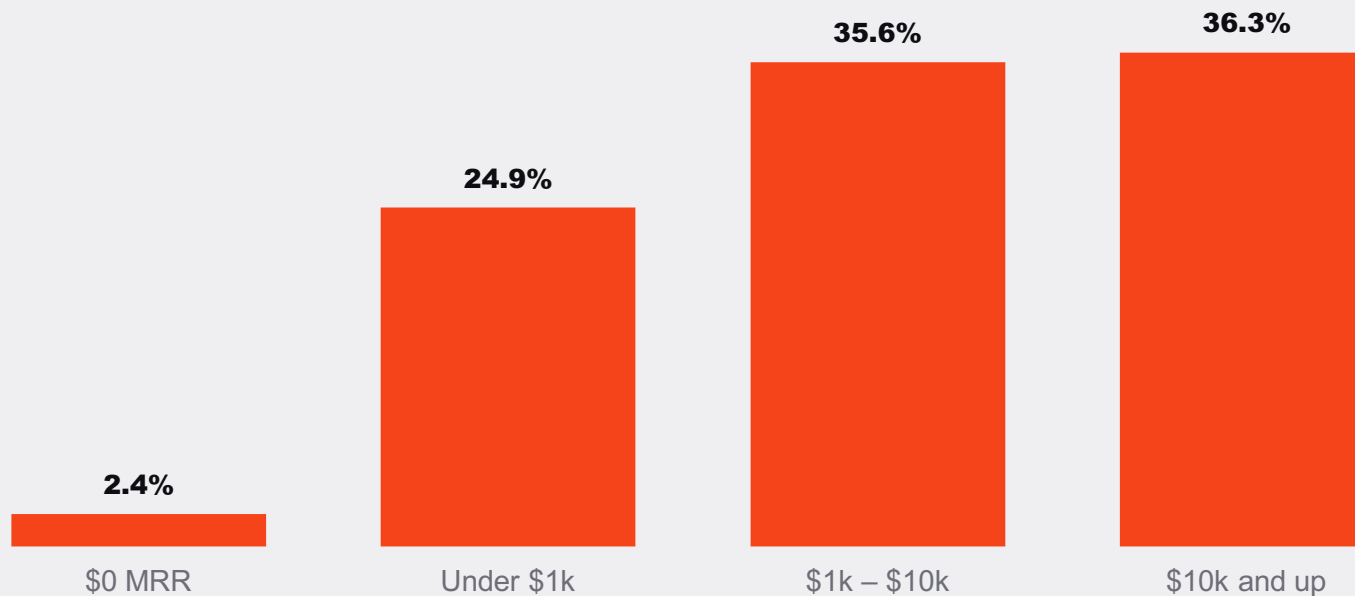
And the ones that do make money aren't growing.

69.3%

of the panel was flat or shrinking last month, not growing

Median month-over-month MRR growth across the panel is exactly 0.0%.

Growth is not the default state of a software business. It is a rare and expensive exception.



Share of companies whose MRR declined last month, by size band

Decline gets more common as revenue grows — the \$10k+ cohort is the most likely to be shrinking.

Source: Month-over-month MRR change, 893 companies with reportable growth data.

PART TWO

If growth doesn't predict revenue, **what does?**

Two candidate signals, both cheap to observe from outside the company. Only one of them survives contact with the data.

Audience is noise. Distribution is signal.

Founder follower count barely correlates with revenue (Spearman $\rho = 0.15$). Domain authority — the SEO strength of the product's own website — correlates three times as strongly ($\rho = 0.49$). Founders with zero followers out-earn founders with a hundred.



Median MRR by follower band · flat, then noisy



Median MRR by domain rating · monotonic, 600x spread · identical vertical scale

Price beats popularity — every time.

B2B companies in the panel serve roughly half as many customers as B2C companies, and earn four and a half times more.

The entire difference is what they charge. Median revenue per customer is \$49 against \$9.34.

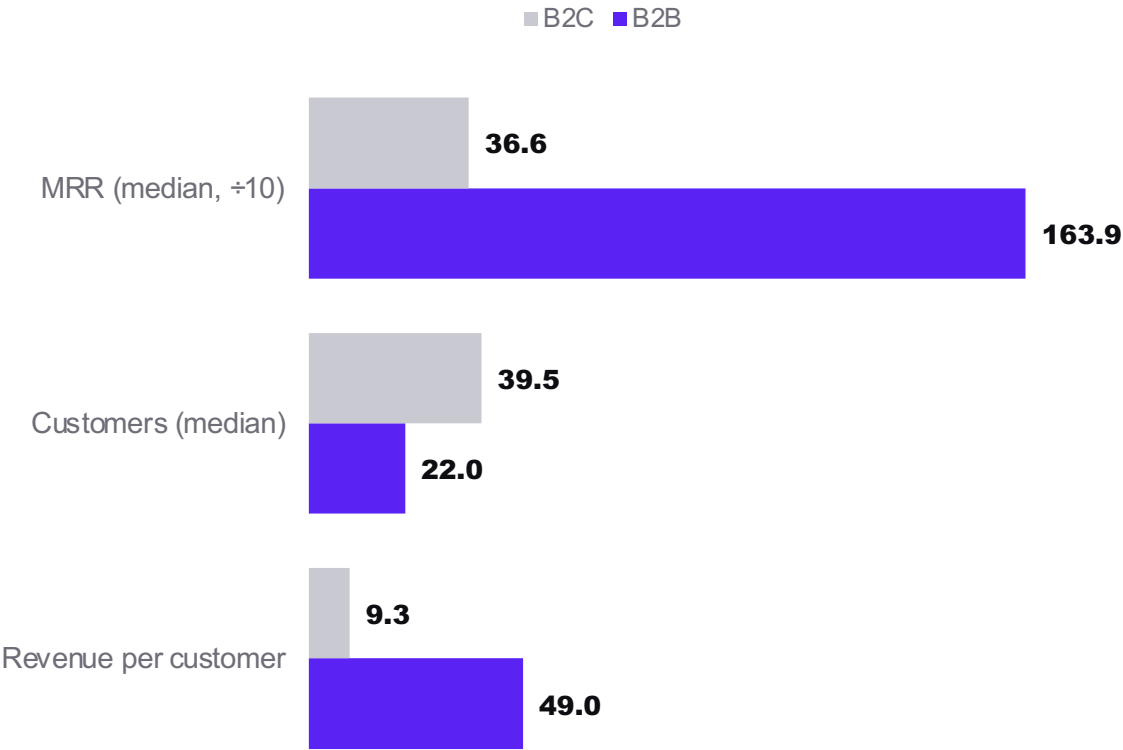
We are not buying user counts. We are buying pricing power, which is the only variable in this dataset a new owner can actually change after closing.

5.2x

B2B revenue per customer
versus B2C

0.56x

B2B customer count
versus B2C



B2C wins the audience. B2B wins the business.

Source: 789 companies reporting both MRR and active subscription counts. MRR series scaled +10 to share an axis.

Three tests. Everything else is a story.

01

VERIFIED CASH

Revenue read from the payment processor, not from a spreadsheet the seller prepared. We underwrite settled transactions only — MRR of \$1,000 or more, twelve months of history.

02

DISTRIBUTION MOAT

Domain rating of 10 or higher. The one externally observable variable that reliably tracks revenue, and the one thing a competitor cannot replicate in a quarter.

03

PRICE DISCIPLINE

An implied multiple at or below 3.0x trailing revenue, calculated by us from verified cash — never the multiple printed on the listing.

Each test is computable from the panel before any conversation with a founder. The screen runs in seconds and can be re-run every month.

THE OPPORTUNITY SET

There is a second market underneath this one.

262 of the 1,000 companies are openly for sale. Together they are asking \$86.8 million against \$20.5 million of verified annual revenue.

The counter-intuitive part: the sellers are the better companies. Median MRR among listed businesses is \$1,055, against \$187 for those not for sale — 5.6 times higher.

This is not a market of failures being dumped. It is a market of small successes whose owners have run out of appetite.

\$86.8M

total asking prices across
the 262 listed companies

\$20.5M

verified trailing revenue
behind those asks

\$35,000

median asking price —
this is a retail-sized market

5.6x

listed companies earn more
than unlisted ones

Adverse selection runs backwards here: hobby projects are abandoned, not listed. Listing is a signal of enough revenue to be worth the paperwork.

THE REVEAL

Sellers quote 3.0x. The cash says 4.45x.

Every listing advertises a revenue multiple. We recomputed it from verified trailing revenue for all 215 listings that quote one.

The median listing is asking 48% more than its own stated multiple implies. Two thirds are asking above their quoted price-to-revenue.

The quoted multiple isn't a lie — it is usually annualised off a good recent month. Verified twelve-month cash removes that flattery, and repricing is where our edge lives.

Multiple implied by verified revenue



4.45x

Multiple quoted on the listing



3.00x

64.7%

of listings are asking above their own
quoted multiple

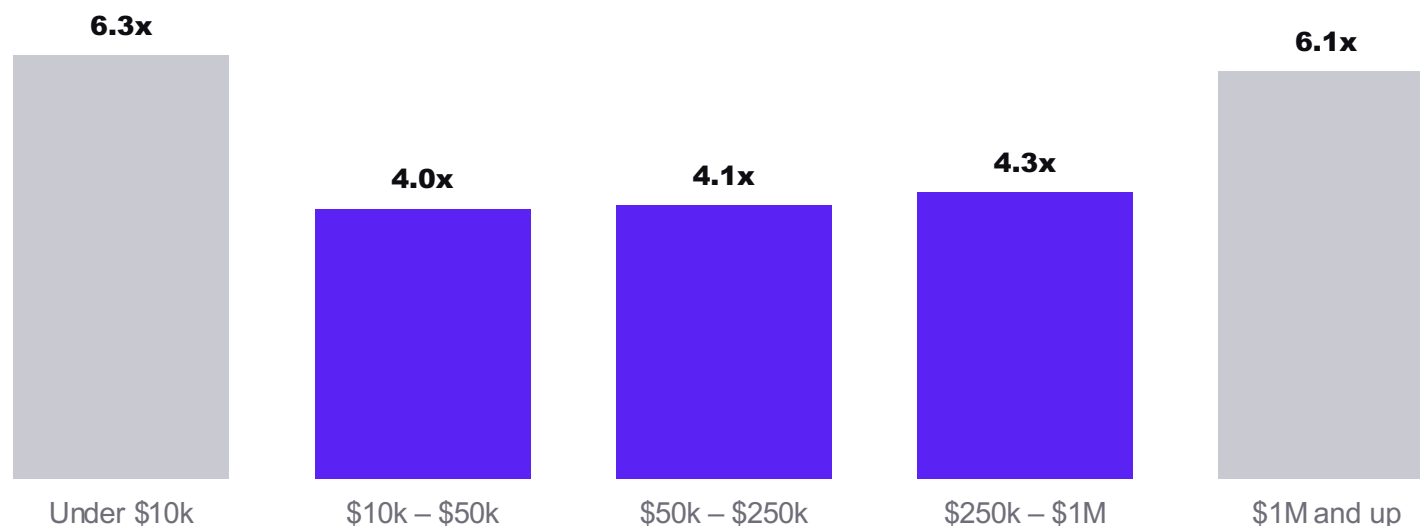
215

listings with both a quoted and a
verifiable multiple

WHERE THE MISPRICING SITS

Two traps and one window.

Implied multiples by deal size are not a smooth curve. The sub-\$10k tier is the most expensive in the market — those listings ask 6.3x against a median of \$263 of annual revenue. Above \$1M, competitive tension from professional buyers pushes multiples back up to 6.1x. The band between them is where price discipline is still available.



Median implied multiple on verified trailing revenue, by asking-price tier

TRAP · BELOW \$10k

94 listings, median \$263 of annual revenue and domain rating 1. Priced highest, worth least.

THE WINDOW

\$10k–\$1M: 144 listings at ~4.1x, thin buyer competition.

TRAP · ABOVE \$1M

Professional buyers already here. 6.1x.

Source: 259 listings with disclosed asking prices, grouped by tier; median implied multiple within each tier.

THE SCREEN, APPLIED

1,000 companies. 25 worth owning.

1,000

Verified panel

262

Openly for sale

259

Asking price disclosed

134

MRR of \$1,000 or more

53

Implied multiple $\leq 3.0x$

25

Domain rating ≥ 10

25

assets clear all three tests simultaneously.

Combined ask:
\$4.85M

Combined ARR:
\$3.61M

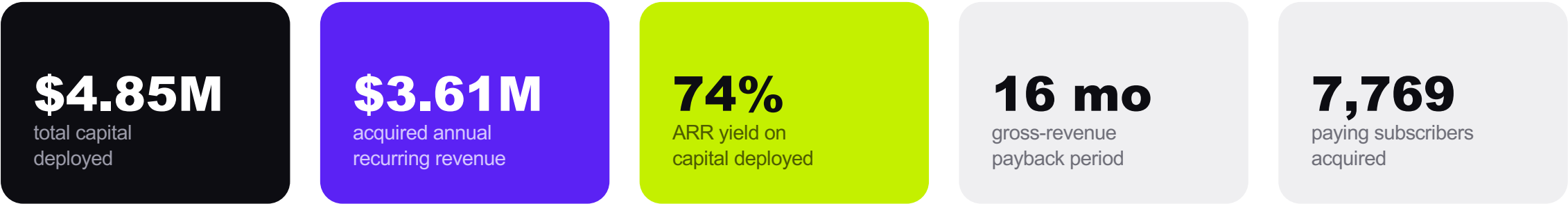
Blended multiple:
1.49x

97.5% of the universe is eliminated without a single conversation.

Source: Screen applied to the 262 listed companies; thresholds as defined on the framework slide.

THE PROPOSED PORTFOLIO

\$4.85M buys \$3.61M of recurring revenue.



Six largest positions

COMPANY	CATEGORY	MRR	ASK	IMPLIED	DR
Speel.co	SaaS	\$65,843	\$500,000	2.76x	46
DropPop	SaaS	\$27,797	\$55,000	0.97x	24
Backlinker AI	Marketing	\$26,950	\$350,000	1.59x	27
Advise.so	Community	\$23,623	\$469,690	1.48x	12
Marky	Content Creation	\$22,733	\$495,000	1.66x	39
BuildMyAgent.io	AI tooling	\$20,494	\$289,000	0.53x	43

These six represent 55% of portfolio ARR — the concentration is real and is addressed on the risk slide.

Source: 25 screened assets; MRR, asking price and domain rating from the verified panel. Implied multiple computed on trailing-12-month revenue.

RETURN SCENARIOS

The exit doesn't need to be clever.

We buy at a blended 1.49x trailing revenue. The market's own median for this size of asset is 4.1x, and assets above \$1M in price clear at 6.1x.

No scenario below assumes a single dollar of revenue growth. Each simply prices the acquired revenue at an observed market multiple.

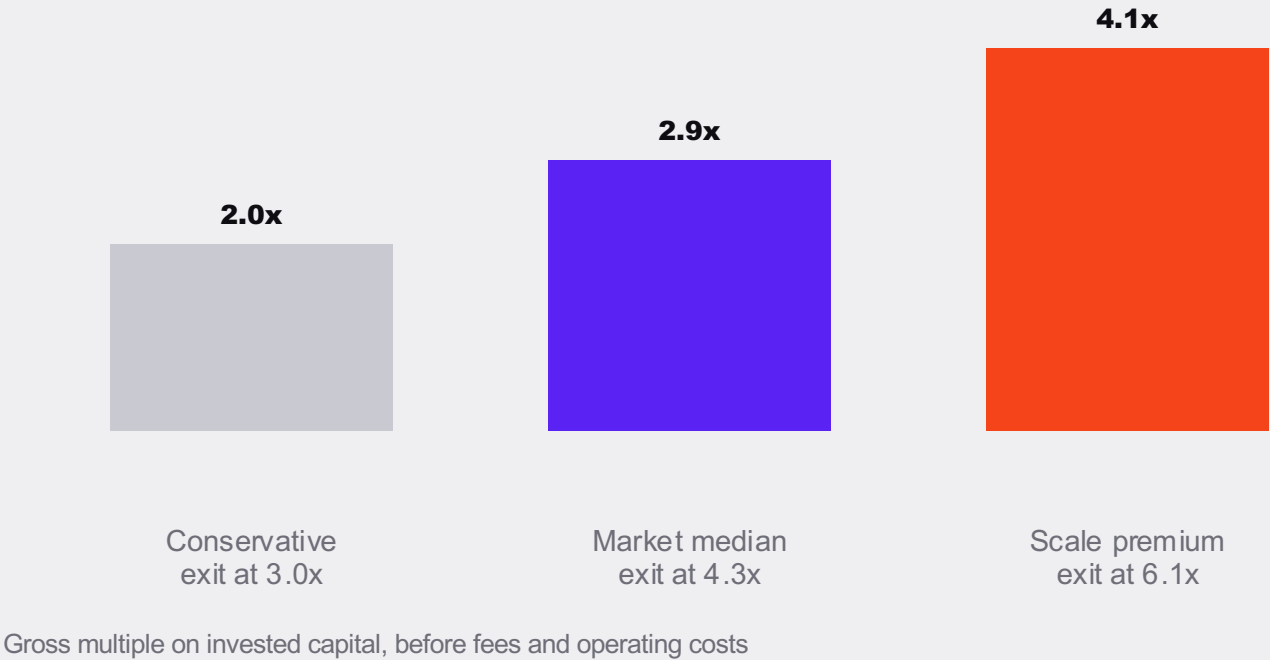
Growth, if it comes, is free.

1.49x

blended entry multiple
on trailing revenue

0x

revenue growth assumed
in every scenario



The entire return is multiple convergence: we pay a distressed-seller price for revenue the market prices normally.

Source: MOIC = exit value ÷ \$4.85M deployed. Exit multiples taken from observed tier medians in the same panel.

WHAT WOULD MAKE US WRONG

Four risks we are underwriting knowingly.

1 The portfolio is shrinking

15 of the 25 screened assets declined month-over-month. We are buying a melting ice cube and pricing it as one — which is exactly why entry is at 1.49x rather than the market's 4.1x.

2 Concentration

The six largest positions hold 55% of portfolio ARR, and the single largest holds 18%. A failed migration on one asset is a material loss, so technical diligence is weighted toward the top three.

3 Key-person dependency

These are one-founder businesses. Support, deploys and domain knowledge usually live in one head. Transition terms and a 90-day handover are non-negotiable, and priced into the bid.

4 Disclosure gaps

Only 261 of 1,000 companies disclose a price and 274 carry no category label. The screen sees what is disclosed, so genuine opportunities are certainly being missed — an error in the safe direction.

Every one of these is visible in the data before we bid. None of them is a surprise we discover after closing.

THE ASK

\$5M. 25 assets.
12 months.

A single fund, deployed against a screen that already runs, into a market where two thirds of participants are mispricing the asset and no institutional buyer is competing below \$1M.

The screen re-runs monthly. The opportunity set refreshes with it.

\$3.61M

ARR acquired at close

2.9x

base-case gross MOIC

0%

growth assumed

Verified revenue. Disciplined price. No story required.